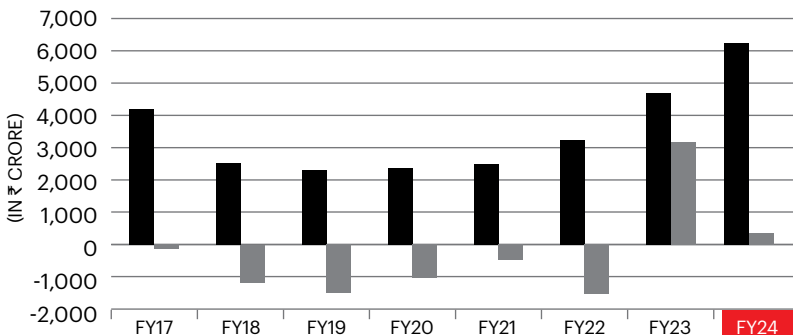


BACK IN THE BLACK

► After a very difficult period following the original promoters' departure, Religare Enterprises is now a profitable company



● REVENUE FROM OPERATIONS ● NET PROFIT
SOURCE ACE EQUITY, COMPANY ANNOUNCEMENTS

DECODING THE FY24 NUMBERS

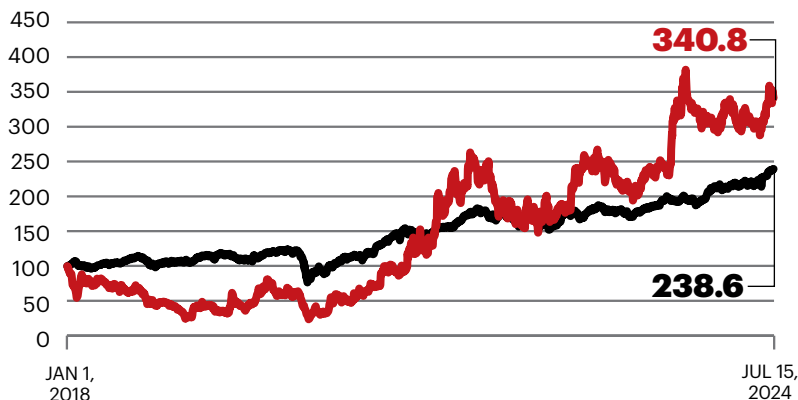
► For Religare Enterprises, health insurance is key to its growth

	Revenue	Segment profit*
• Care Health Insurance	5,757	406
• Religare Broking	323	40
• Religare Finvest	182	-6

NOTE FY24 NUMBERS IN ₹ CRORE; *PROFIT BEFORE TAX
SOURCE ANNUAL REPORT

SURGING AHEAD

► The Religare Enterprises stock hit a record low during the difficult times before recovering smartly



● BSE SENSEX ● RELIGARE ENTERPRISES
DATA HAS BEEN INDEXED TO 100 SOURCE ACE EQUITY

WHY IT MATTERS

Religare has had a rocky ride since 2018, when its promoters, Malvinder and Shivinder Singh, were accused of diverting over ₹2,000 crore from group company Religare Finvest, and arrested. The Singh brothers had to divest their stake and step down. Saluja came aboard, and in March 2023, the company did a one-time settlement of ₹2,178 crore with 16 lenders of the finvest (SME lending) business (see chart 'Current Business Structure'). By February 2024, the finvest business had repaid over ₹9,000 crore in all. "We had tried a debt restructuring earlier but the fraud tag came in the way. There was no question of a credit rating since a negative perception existed," recalls Saluja. The situation is vastly different today and REL is now profitable (see chart 'Back in the Black').

Financial services are familiar territory for the Burmans. They hold stakes in Aviva Life Insurance and Universal Sompo General Insurance; earlier, they were involved in ABN Amro Securities and Fidelity Mutual. The Burman family spokesperson says Religare is a business with potential for growth and expansion. No wonder, then, that they want it badly.

"We have a strong record of turning around companies where the full potential is not realised because of management and governance-related concerns," the spokesperson says. Religare's wide range of financial services also makes it attractive. "With the Burman group's record and ability to access capital and attract and nurture top management, we believe there is a lot that can be done to significantly bolster REL's business," the spokesperson says.

Analysts say Religare has a promising business model. Says Vinit Bolinjar, Head (Research)